

OTE

Participatory Note is a unique Indian aberration that enables foreign investors gain from India's growth without disclosures. SEBI must push its plan to ensure that they wind up.

IDENTITY CRISIS

P-Notes ARE

Instruments issued by FIIs to enable foreign investors trade in stocks without disclosing their identity.

Allowed by SEBI

Since February 2000 to enable foreign companies and high net worth investors invest in the Indian market.

P-Notes account FOR

\$88 bn of the total \$176 bn FII inflow

Risk FACTORS

The funds are often highly leveraged, may be used to prop up shares and could be from terror networks.

Is it hot MONEY?

Not necessarily but huge investments in derivatives can trigger "herd trading" aggravating a crash.

The rising TIDE

P-Notes have grown from Rs 31,875 crore in 2004 to Rs 3,53,484 crore in August 2007

What SEBI wants?

1. Allow P-Notes in equity and debt but wind them in derivatives in 18 months.
2. Limit issuance of P-Notes to 40% of an FII's assets under custody.

unwound and no fresh derivatives will be issued. While FIIs can continue to issue simple P-Notes, says Damodaran, where the underlying asset is Indian equity or debt, issue of derivative-linked notes has been banned and all outstanding positions will have to be unwound within 18 months. The process of curbing P-Notes had started in January 2004 when the Ministry of Finance had examined it in consultation with RBI and SEBI. Following this consultation, SEBI had indicated that existing non-eligible P-Notes would be permitted to expire or be wound down on maturity, or within a period of five years, whichever was earlier.

When the debate on P-Notes had been going on for so long, why did the Government choose to impose the curbs now? The markets have been witnessing a steady rise over the last few weeks ever since the US Fed cut its rate by 0.5 per cent. This led to a \$10 billion (Rs 40,000 crore) inflow since September. While higher inflows are bad news for the economy as the rupee appreciates, a bigger challenge comes when over-leveraging happens in derivatives and a chain reaction leads to prices crashing in the derivatives. This would impact even the cash market, which is perhaps why regulators have chosen to curb inflows into derivative P-Notes.

SEBI is working overtime to convert the sub-accounts and proprietary accounts of FIIs so that all the money that comes in is through regulated entities governed by Know Your Client (KYC) norms. In effect, SEBI wants all sub-accounts of FIIs to be converted into regular FIIs. It also wants FIIs to convert their proprietary accounts into regular FII accounts. The regulator has no problems with more than one FII registration from the same stable. Explains Damodaran: "We are only telling them to get back to doing what they came here for and within 24 hours almost all have agreed to the transition to FIIs."

While the regulator has played

REPORT ON FII INVESTMENTS, 2005

ASHOK LAHIRI, ED, ADB BOARD OF DIRECTORS

"SEBI has stipulated that PNs are not to be issued to non-regulated entities."

LECTURE, 2005

Y.V. REDDY, GOVERNOR, RBI

"A view needs to be taken on the quantity and quality of FII flows."